



UNIVERSITAS INDONESIA

RWA Tokenization with DAO Governance

Blockchain Technology Course

Group 4

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TABLE OF CONTENTS

TABLE OF CONTENTS.....	1
CHAPTER 1: INTRODUCTION.....	2
1.1. Introduction.....	2
1.2. Project Aim.....	2
1.3. Literature Review.....	3
1.4. Competitor Analysis.....	5
1.5. Functions/Module.....	6
1.6. Tools.....	7
REFERENCES.....	8

CHAPTER 1: INTRODUCTION

1.1. Introduction

Real World Asset (RWA) tokenization have been a key trend over the last few years. With this system, people can invest their money into a fraction of a RWA, such as real estate. By doing that, they can get benefits such as dividends on every rent to getting a vote on the property management decisions.

One major problem with RWA tokenization is that there have been many cases of financial mismanagement from the third party involved, such as fraud. This leads to many people complaining and court cases that have been done. This mismanagement comes from the centralized approach of the system, which can be solved by leveraging the decentralized system on a blockchain network.

This is where Decentralized Autonomous Organization (DAO) comes in. A DAO based RWA system can help build trust of users and prevent financial mismanagement that could come in a previous system.

Therefore, this project introduces a decentralized RWA tokenization platform governed entirely by a DAO, providing a secure, transparent, and user-centric infrastructure for fractional asset investment.

1.2. Project Aim

The main objective of this project is to develop a platform where the RWA is tokenized, while keeping it safe and trustworthy with DAO. The specific objectives to be achieved include:

- **To design and implement a smart contract infrastructure** capable of tokenizing real-world assets into fractionalized digital tokens safely.
- **To develop a DAO governance mechanism** that allows token holders to vote transparently on critical asset management decisions (e.g., maintenance, dividend distribution, property sale).

- **To build a user-friendly decentralized application (dApp)** interface that enables users to browse, invest in, and manage their fractional RWA portfolios seamlessly.
- **To automate yield distribution** through smart contracts, ensuring that all investors receive their rightful dividends instantly and without third-party interference.

1.3. Literature Review

Aloshyna et al. examines how asset tokenization serves as a connecting mechanism between conventional financial systems and the emerging blockchain ecosystem. The authors explore how representing physical assets, such as real estate, commodities, and securities, as digital tokens on a distributed ledger can significantly lower the barrier to entry for investors through fractionalization. The paper highlights that tokenization improves liquidity in traditionally illiquid markets, enables near-instant settlement of transactions, and enhances transparency through immutable on-chain records. It also acknowledges regulatory challenges, particularly around investor protection and the legal recognition of tokenized ownership, which remain key obstacles to mainstream adoption.

Proskurovska et al. takes a more critical stance by examining not only the potential but also the inherent limitations of blockchain-based tokenization when applied at scale to financial markets. The authors argue that while blockchain provides trustless transaction validation, it does not inherently solve off-chain problems such as asset valuation disputes, legal enforceability of token-based ownership, and regulatory compliance across jurisdictions. The paper discusses the tension between decentralization and the need for centralized legal frameworks, pointing out that smart contracts cannot autonomously handle real-world contingencies such as property damage or tenant default. This work is particularly relevant to this project as it underscores the importance of designing robust governance mechanisms, such as DAO-based voting, to handle decisions that cannot be fully automated.

Guo et al. proposes a framework specifically designed to address one of the most pressing technical challenges in RWA tokenization: interoperability across multiple blockchain networks. The authors present xRWA, a cross-chain protocol that allows tokenized real-world assets to be represented and transferred seamlessly between different blockchain ecosystems, such as Ethereum, BNB Chain, and Polygon, without sacrificing the integrity of ownership

records. The framework utilizes cross-chain messaging protocols and wrapped token standards to ensure that asset data and transfer events remain consistent across chains. For this project, the xRWA framework serves as a reference point for understanding how future scalability and multi-chain support could be integrated into the platform, even though the current implementation targets a single EVM-compatible network.

Rikken et al. investigate the governance complexities that arise when organizations attempt to operate under DAO structures on blockchain networks. The paper identifies fundamental tensions in DAO design, particularly the trade-off between operational efficiency and fully decentralized decision-making, as large token holder communities often struggle to reach quorum or consensus in a timely manner. The authors also highlight risks such as voter apathy, plutocracy, where wealthy token holders dominate governance outcomes, and the difficulty of modifying smart contract logic once deployed, even when community consensus calls for it. This paper directly informs the governance design of this project, motivating the adoption of proposal thresholds, time-locked voting periods, and proportional voting weights to mitigate these risks while maintaining a fair and democratic governance structure.

Previous literature tends to discuss asset tokenization and DAO governance separately. The novelty of this project is combining both: applying DAO smart contracts to automate management and democratic decision-making for real-world property assets. While existing platforms tokenize assets with centralized management, and while DAO governance has been studied primarily in the context of DeFi protocols, this project integrates both paradigms into a single cohesive system. This enables investors to not only hold fractional ownership of physical assets but also exercise direct, on-chain governance rights over those assets, eliminating the need for trusted intermediaries and reducing the risk of financial mismanagement.

1.4. Competitor Analysis

Table 1. Competitor Analysis

Competitor	What they do well	Their Disadvantages
RealT	Pioneered fractional real estate tokenization on Ethereum; offers consistent rental yield distribution to token holders; has an established user base and a relatively simple onboarding process for U.S. properties.	Governance is fully centralized, RealT management makes all property decisions without token holder input; limited to U.S.-based properties; relies on third-party property managers, creating counterparty risk.
Landshare	Built natively on BNB Chain with lower transaction fees; integrates DeFi features such as staking and yield farming alongside property tokens; active development community.	Governance participation is limited and not fully on-chain; asset selection and management remain under centralized control; smaller asset portfolio compared to more established competitors.

Our Key Values:

- **Full DAO Governance:** Unlike all current competitors, every material decision regarding a tokenized asset, including maintenance approvals, dividend policy adjustments, and property sale, is governed entirely on-chain through transparent token-weighted voting. No centralized party can override the community's decision.
- **Automated and Trustless Dividend Distribution:** Rental income is distributed automatically and proportionally to all token holders via smart contracts immediately upon receipt, removing the need for manual processing or third-party fund managers.

- **Transparent and Auditable Smart Contracts:** All smart contract source code is open-source and verifiable on-chain, allowing any investor or auditor to independently confirm that the system operates as described without hidden administrative privileges.
- **User-Centric dApp Interface:** The platform is designed for accessibility, enabling investors with no technical blockchain knowledge to browse properties, invest, track dividends, and participate in governance through a clean and intuitive interface authenticated solely via their digital wallet.

1.5. Functions/Module

This project will be divided into three main functional modules:

1. Smart Contract Module (Backend Engine):

- **Tokenization Function:** Responsible for minting property ownership into digital token fractions by setting a maximum supply limit (max_supply). Each token represents a proportional share of the underlying real-world asset, and ownership records are stored immutably on-chain.
- **Governance Function (Voting):** Allows token holders to submit and vote on proposals (e.g., disbursing funds for a roof repair). Proposals are subject to a defined quorum threshold and a time-locked voting period, after which the outcome is automatically executed by the smart contract without any manual intervention.
- **Dividend Distribution Function:** Receives rental payments from tenants and distributes them proportionally and automatically to the investors' wallets based on their token holdings at the time of distribution.

2. Frontend Module (User Interface):

- **Investor Dashboard:** A page for users to view property information, their RWA token balance, accumulated dividends, and transaction history.
- **Governance Page:** An interface where investors can view active proposals, cast votes, track voting progress in real time, and review the outcomes of past governance decisions.

3. Integration & Identity Module:

- Authentication Function: Secures user entry into the DApp without traditional usernames or passwords, using digital wallets (MetaMask) directly for a seamless and self-sovereign login experience.
- Digital Signature Function: Requires users to consciously approve and sign transactions when transferring funds, purchasing tokens, or casting votes, ensuring that no action is taken without explicit user consent.

1.6. Tools

The project will use the following proposed tools and technologies (with subject to change):

- Ethereum (EVM)
- Solidity
- Truffle & Ganache
- Angular
- Node.js
- Web3.js
- MetaMask

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